

1 CONTRACT RISK GUIDELINES
2 RAG Reference Document for AI Contract Review System
3 Prepared with reference to ACME Corporation / ClientCo Ltd. Contract Template Library
4 Version 1.0
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8 CLAUSE TYPE: payment_terms
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11 STANDARD VERSION:
12 In a fair and balanced contract, the client pays invoices within thirty days of the invoice date (Net 30). Late payment interest is modest, typically one and one-half percent per month or the maximum permitted by applicable law, whichever is lower. The client retains the right to dispute invoices in good faith within a defined window without being in breach, and any set-off or withholding for genuinely disputed amounts is permissible.
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14 RED FLAGS:
15 - Payment period extended to Net 60 or beyond, significantly delaying the vendor's cash flow obligation and creating working capital risk for the client.
16 - Late payment interest set at three percent per month or higher, compounding monthly, which can result in annualized interest rates exceeding thirty-six percent.
17 - No-set-off clause that prevents the client from withholding or deducting any amount even in cases of legitimate disputes, counterclaims, or vendor breach.
18 - No invoice dispute mechanism, meaning the client has no formal right to challenge an incorrect invoice without triggering a late payment event.
19 - Fees stated as entirely non-refundable under all circumstances, including upon early termination by the vendor or vendor breach, leaving the client with no recourse for prepaid but unused services.
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21 EXAMPLE RISKY LANGUAGE:
22 Client shall pay each invoice in full within sixty days of the invoice date and shall not be entitled to withhold, set off, or deduct any amounts from Fees due under this Agreement, whether on account of any disputed amounts, counterclaims, or otherwise.
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24 EXAMPLE STANDARD LANGUAGE:
25 Client shall pay each undisputed invoice within thirty days of the invoice date, and may notify Provider in writing of any disputed amount within fifteen days of receipt for good-faith resolution.
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27 RISK TRIGGERS:
28 Net 60, Net 90, no set-off, non-refundable, three percent per month, compounding monthly, no dispute, irrevocable, no deduction, payment in full, sole discretion of vendor
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31 =====
32 CLAUSE TYPE: termination
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35 STANDARD VERSION:

36 A balanced termination clause gives both parties equal and symmetrical rights to exit the agreement, typically on
thirty days notice for convenience or immediately upon material breach after a cure period of fourteen to thirty d
ays. Either party may terminate for insolvency or bankruptcy of the other. The clause does not impose financial pe
nalties on the client for exercising a legitimate termination right.

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38 RED FLAGS:

39 - Asymmetric notice periods where the vendor can terminate on seven days notice but the client must give sixty or
ninety days notice, creating a severe imbalance in exit rights.

40 - Vendor may terminate immediately and without a cure period for any breach, including non-material or technical b
reaches, while the client has no equivalent right.

41 - Client termination restricted to natural expiry of a term, meaning the client cannot exit mid-term even if the v
endor is failing to perform.

42 - Early termination by the client triggers a termination fee, sometimes up to fifty percent of the remaining contr
act value, regardless of the reason for termination.

43 - Vendor may terminate at its sole discretion for subjective reasons such as reputational risk or legal risk, whic
h are undefined and entirely within the vendor's judgment.

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45 EXAMPLE RISKY LANGUAGE:

46 Provider may terminate this Agreement at any time upon seven days prior written notice to Client, while Client may
terminate this Agreement only upon sixty days prior written notice and solely at the expiration of a Subscription
Term.

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48 EXAMPLE STANDARD LANGUAGE:

49 Either party may terminate this Agreement for any reason upon thirty days prior written notice, or immediately upo
n written notice if the other party materially breaches this Agreement and fails to cure such breach within thirty
days of receiving written notice.

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51 RISK TRIGGERS:

52 seven days notice, sole discretion, immediately upon, no cure period, termination fee, fifty percent of remaining
fees, solely at expiration, early termination penalty, reputational risk, legal risk

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56 CLAUSE TYPE: liability_cap

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59 STANDARD VERSION:

60 In a balanced agreement, each party's total aggregate liability is capped at the fees paid or payable by the clien
t in the twelve months preceding the claim. The cap applies symmetrically to both parties. Certain categories of l
oss are carved out from the cap, including death or personal injury, fraud or fraudulent misrepresentation, and in
some cases wilful misconduct.

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62 RED FLAGS:

- Liability cap set at a nominal flat amount such as five hundred US dollars regardless of the contract value or fees paid, rendering the cap commercially meaningless.
- Cap applies only to the vendor's liability while the client's liability, including indemnification obligations, is expressly stated to be uncapped.
- All consequential, indirect, special, exemplary, and punitive damages excluded for the vendor, while the same exclusions do not apply to the client's obligations.
- No carve-outs from the cap for death, personal injury, fraud, or wilful misconduct by the vendor.
- The cap is described as an essential element of the bargain that the client must acknowledge and accept, attempting to insulate the clause from challenge.

EXAMPLE RISKY LANGUAGE:

Provider's total aggregate liability to Client arising out of or relating to this Agreement, whether in contract, tort, strict liability, or otherwise, shall not exceed five hundred United States dollars, regardless of the nature or number of claims and regardless of the amount of fees paid by Client.

EXAMPLE STANDARD LANGUAGE:

Each party's total cumulative liability arising out of or relating to this Agreement shall not exceed the total fees paid or payable by Client in the twelve month period immediately preceding the event giving rise to the claim.

RISK TRIGGERS:

USD \$500, five hundred dollars, flat cap, regardless of fees paid, regardless of the number of claims, essential element of the bargain, not apply to Client's liability, uncapped indemnification, consequential damages excluded

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CLAUSE TYPE: data_ownership

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STANDARD VERSION:

In a balanced agreement, the client retains full ownership of all data it submits to the service. The vendor is granted only a limited, purpose-restricted licence to process that data in order to provide the contracted services. The vendor may use aggregated and fully anonymised data for service improvement, but may not claim ownership of raw client data, derive commercial data products from it, or use it to train machine learning models without explicit consent.

RED FLAGS:

- Vendor claims ownership of usage data, metadata, telemetry, and any data derived or aggregated from the client's data, including insights and analytics.
- Client irrevocably assigns to the vendor all right and interest in vendor-defined categories of data, including data directly derived from the client's own content.
- Vendor is granted a worldwide, perpetual, irrevocable, royalty-free licence to use client data for any purpose including developing and commercialising new products, training machine learning models, and creating data products for sale.
- No obligation on the vendor to return client data upon termination, and the vendor may delete client data without notice shortly after contract end.

91 - Client is solely responsible for obtaining data subject consents covering the vendor's broad use of client data, shifting regulatory risk entirely onto the client.

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93 EXAMPLE RISKY LANGUAGE:

94 As between the parties, Provider shall own and retain all right, title, and interest in and to all Usage Data, all aggregated or de-identified data derived from Client Data, and all insights, models, and reports generated from Client Data, and Client hereby irrevocably assigns to Provider all right, title, and interest therein.

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96 EXAMPLE STANDARD LANGUAGE:

97 As between the parties, Client retains all right, title, and interest in and to all Client Data, and Provider acquires no ownership interest therein, with Provider granted only a limited licence to process Client Data solely to the extent necessary to provide the Services.

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99 RISK TRIGGERS:

100 vendor owns, provider owns, irrevocably assigns, perpetual licence, royalty-free, train machine learning models, commercialize, usage data, derived data, no obligation to return, delete upon termination, aggregated data products

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104 CLAUSE TYPE: auto_renewal

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107 STANDARD VERSION:

108 A balanced auto-renewal clause requires both parties to provide notice of non-renewal within a reasonable and proportionate window, typically thirty days before the end of the term. The vendor must provide advance notice of any fee increases before the renewal takes effect, and the client has a right to reject the increase by opting out. The vendor is expected to send a reminder of the upcoming cancellation deadline.

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110 RED FLAGS:

111 - Non-renewal notice window set at ninety days or more, requiring the client to decide whether to renew three months before the contract expires, well before the renewal terms are known.

112 - Vendor may increase fees unilaterally upon renewal with the only remedy being cancellation within an already narrow window.

113 - Failure to cancel within the notice window is stated to constitute irrevocable acceptance of any fee increase, regardless of how large that increase may be.

114 - Vendor explicitly states it will provide no reminders of the approaching cancellation deadline, placing the entire tracking burden on the client.

115 - Renewal term defaults to the longer of the initial term or one year, meaning a multi-year contract automatically renews for multiple years if the client misses the window.

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117 EXAMPLE RISKY LANGUAGE:

118 Unless Client provides written notice of non-renewal no later than ninety days prior to expiration, this Agreement shall automatically renew at Provider's then-current list prices, and failure to cancel within this window shall constitute Client's irrevocable acceptance of any fee adjustment.

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120 EXAMPLE STANDARD LANGUAGE:

121 Unless either party provides written notice of non-renewal no later than thirty days prior to expiration, this Agreement shall automatically renew on the same terms, subject to any fee adjustment notified by Provider at least sixty days before the renewal date.

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123 RISK TRIGGERS:

124 90 days prior, ninety days, irrevocable acceptance, no reminders, no notice of deadline, sole discretion to increase, whichever is longer, automatic renewal, cancellation window

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128 CLAUSE TYPE: ip_ownership

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131 STANDARD VERSION:

132 In a balanced consulting or services agreement, the client owns all work product, deliverables, inventions, and materials specifically created for the client in the course of the engagement. The consultant retains ownership of pre-existing proprietary tools and methodologies, and receives a licence to use client materials only to the extent necessary to perform the services. Any pre-existing IP embedded in deliverables is licensed to the client on a perpetual, royalty-free basis.

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134 RED FLAGS:

135 - Vendor or consultant retains ownership of all deliverables, work product, and inventions developed during the engagement, regardless of the degree of client input or funding.

136 - Client receives only a limited, revocable, non-exclusive licence to use the work product it has paid for, and that licence terminates automatically upon any breach.

137 - Client is prohibited from modifying, adapting, or creating derivative works of the work product without the consultant's prior written consent.

138 - Consultant is granted a perpetual, irrevocable, royalty-free licence to use the client's own data, materials, and IP for the development of the consultant's general knowledge base and future service offerings.

139 - All methodologies, frameworks, tools, and improvements developed during the engagement are classified as consultant IP, even where developed specifically using client resources and requirements.

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141 EXAMPLE RISKY LANGUAGE:

142 Notwithstanding anything to the contrary, Consultant shall own all right, title, and interest in and to all deliverables, work product, inventions, and materials developed in the course of performing the Services, and Client is granted only a limited, revocable licence to use the Work Product for its internal business purposes.

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144 EXAMPLE STANDARD LANGUAGE:

145 As between the Parties, Client shall own all right, title, and interest in and to all Work Product specifically developed for Client under this Agreement, and Consultant hereby irrevocably assigns all such rights to Client upon full payment of applicable fees.

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147 RISK TRIGGERS:

148 consultant owns, vendor owns, revocable licence, licence may be revoked, internal use only, no derivative works, p
149 erpetual licence to client materials, general knowledge base, all methodologies, all improvements
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151 =====
152 CLAUSE TYPE: non_compete
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155 STANDARD VERSION:
156 A balanced non-compete clause restricts the employee from joining or founding a directly competing business for a
157 period of no more than six months following termination, within the geographic territory where the employer actual
158 ly operates as of the termination date. The restriction is tied to specific, defined competitive activities rather
159 than being defined so broadly as to capture any tangentially related work. Garden leave compensation is provided f
160 or the duration of the restricted period.
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162 RED FLAGS:
163 - Geographic scope defined as anywhere in the world where the company conducts or plans to conduct business, effec
164 tively making the restriction global and unlimited in territory.
165 - Definition of competing business drafted so broadly as to capture any enterprise that could benefit from the emp
166 loyee's general knowledge, not just businesses directly competing with specific products or services.
167 - Competing business definition includes companies that are reasonably likely to benefit from knowledge of the emp
168 loyer's confidential information, which could include virtually any employer in the same industry.
169 - Restricted period extends beyond six months without corresponding compensation, reducing the likelihood of enfor
170 ceability in many jurisdictions.
171 - Company retains sole reasonable discretion to define what constitutes a breach of the non-compete, without objec
172 tive or measurable criteria.
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175 EXAMPLE RISKY LANGUAGE:
176 Employee shall not engage in, be employed by, or be connected with any Competing Business anywhere in the world wh
177 ere Company conducts or plans to conduct business, where Competing Business means any enterprise reasonably likely
to benefit from Employee's knowledge of Company's Confidential Information.

EXAMPLE STANDARD LANGUAGE:
During the Restricted Period, Employee shall not directly engage in or be employed by any business that directly c
ompetes with Company's current products and services within the geographic territory in which Company actively con
ducts its operations as of the date of termination.

RISK TRIGGERS:
anywhere in the world, plans to conduct business, reasonably likely to benefit, confidential information, sole dis
cretion, global restriction, any competitive business, indefinite term, no compensation, garden leave

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148 consultant owns, vendor owns, revocable licence, licence may be revoked, internal use only, no derivative works, p
149 erpetual licence to client materials, general knowledge base, all methodologies, all improvements
150
151 =====
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153 =====
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169 - Restricted period extends beyond six months without corresponding compensation, reducing the likelihood of enfor
170 ceability in many jurisdictions.
171 - Company retains sole reasonable discretion to define what constitutes a breach of the non-compete, without objec
172 tive or measurable criteria.
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176 CLAUSE TYPE: indemnification
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179 STANDARD VERSION:

180 In a balanced agreement, both parties provide mutual indemnification covering third-party claims arising from their own gross negligence, wilful misconduct, and material breach. The vendor indemnifies the client against IP infringement claims arising from the vendor's own products and services. Indemnification obligations are subject to a standard procedure requiring timely notice, cooperation, and control over the defence, and indemnification amounts count toward the overall liability cap.

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182 RED FLAGS:

183 - Client is required to provide broad indemnification covering any claim arising from its use of the services, including claims that are not attributable to the client's own fault or breach.

184 - Vendor's indemnification obligation is limited only to claims arising from wilful misconduct or gross negligence, with no indemnification for IP infringement claims arising from the vendor's own products.

185 - Client indemnification obligations are expressly carved out from the liability cap, meaning the client faces unlimited liability for indemnification while the vendor's liability remains capped at a nominal amount.

186 - Vendor indemnification is subject to the USD \$500 aggregate liability cap, rendering it commercially worthless in any real dispute.

187 - No mutual indemnification procedure, and the vendor may settle claims on terms that impose obligations on the client without the client's prior written consent.

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189 EXAMPLE RISKY LANGUAGE:

190 Client shall indemnify, defend, and hold harmless Provider from and against any and all claims arising out of or relating to Client's use of the Services, and such indemnification obligations shall not be subject to any limitation of liability.

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192 EXAMPLE STANDARD LANGUAGE:

193 Each party shall indemnify, defend, and hold harmless the other from third-party claims arising from that party's gross negligence or wilful misconduct, with neither party settling any claim that imposes obligations on the other without prior written consent.

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195 RISK TRIGGERS:

196 Client shall indemnify, unlimited indemnification, not subject to liability cap, uncapped, any and all claims, arising from use of services, vendor indemnification subject to cap, no IP indemnification, sole control over defense

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200 CLAUSE TYPE: data_breach_notification

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203 STANDARD VERSION:

204 In a GDPR-compliant and balanced data processing agreement, the processor must notify the controller of any confirmed personal data breach within seventy-two hours of becoming aware of it, consistent with Article 33 of the GDPR. The initial notification should include available details of the breach, the categories and approximate number of affected data subjects, and the measures being taken to address and mitigate the breach. The processor must cooperate fully with the controller's regulatory reporting obligations.

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- RED FLAGS:
- Breach notification window extended to seven business days, which is significantly longer than the seventy-two hour standard under GDPR Article 33 and leaves the controller unable to meet its own regulatory obligations.
 - Notification obligation triggered only upon a confirmed breach, with no obligation to notify upon suspicion or reasonable grounds to believe a breach has occurred, delaying the reporting clock.
 - Processor states it has no obligation to investigate or provide information beyond what is readily available from its own systems, limiting the usefulness of any notification.
 - Controller is stated to be solely responsible for all regulatory notifications to supervisory authorities and data subjects, with the processor bearing no liability for the controller's resulting fines or penalties.
 - Processor explicitly disclaims any liability for fines or penalties arising from regulatory challenges, even where the delay in notification was caused by the processor's own failure.

EXAMPLE RISKY LANGUAGE:

Upon becoming aware of a confirmed Personal Data Breach, Processor shall notify Controller without undue delay and in any event within seven business days, and Controller is solely responsible for determining whether regulatory notification is required and for making such notifications within legally required timeframes.

EXAMPLE STANDARD LANGUAGE:

Processor shall notify Controller of any confirmed Personal Data Breach without undue delay and in any event within seventy-two hours of becoming aware, providing all available details of the nature, scope, and impact of the breach and cooperating fully with Controller's regulatory obligations.

RISK TRIGGERS:

seven business days, 7 business days, solely responsible for regulatory notification, no obligation to investigate, confirmed breach only, Controller bears all liability, no liability for fines, narrow notification, beyond what is available, biennial audit

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END OF DOCUMENT

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